as ease of use without gear changes and quieter operation. Recognising that beyond the product itself, supporting customers with financing solutions and considering their credit histories is crucial for facilitating their transition to electric vehicles (EVs).

## Financing a massive problem for EV startups

Financing poses a significant challenge, and credit is due to the larger OEMs. Major OEMs like Mahindra, Bajaj, and Tata have commendably navigated these waters, establishing financing arms that give them a strategic advantage in making financial decisions more effortlessly than external financiers.

For startups like ours, convincing the financial ecosystem of the viability and reliability of our vehicles is a formidable task. It is a gradual process, demanding irrefutable proof of the vehicle's quality, not merely relying on novelty. The three-wheeler segment has struggled with securing finance, often resorting to high-interest ad hoc solutions. In contrast to the more 'luxurious' two- and four-wheelers, three-wheelers, integral to many people's livelihoods, have suffered from exorbitant interest rates, sometimes reaching 28-32%.

Recognising the imperative need for change, our approach involves presenting our vehicles as dependable assets to financers, backed by real-time data on vehicle usage to mitigate payment risks. We understand that financiers are averse to repossessing vehicles; they need reliable information to collaborate with clients and adapt payment structures, if necessary. It is not just about accessing finance; it is about securing it at sustainable interest rates.

Financing is indeed pivotal. With a fully engineered vehicle prepared and a dealer network established, the focus shifts to deployment. Both wholesale and retail financing emerge as crucial elements in this phase.

## Younger companies stimulate the entire sector

Whether small or large, every player has a vital role in the electric vehicle industry. Younger companies often can take more significant risks and act more aggressively, stimulating the entire sector. Their willingness to innovate has a catalytic effect, encouraging others to adopt new ways of thinking.

These risk-taking companies, especially new fintech firms, introduce novel business models. For instance, vehicles and batteries are now being financed separately, with some components available for rent while others are leased. These innovative approaches were unheard of, but they have materialised because startups dared to take risks, unleashing creativity and the willingness to experiment with new models.

These ventures are the harbingers of new products and service packages, drawing the attention of established companies. Their extensive data and fresh business models make young companies increasingly appealing to larger entities. This dynamic will likely drive rapid growth in the sector and, undoubtedly, such evolution is imminent.

## Diversity in the EV ecosystem

It is not going to be one size fits all. It does not happen in a democracy and will not happen in the EV ecosystem. The approach toward adopting alternative fuels in the electric vehicle ecosystem will inevitably be diverse. No solution will fit every context—different regions may find certain fuels like CNG, biodiesel, or hydrogen more accessible, depending on local availability and specific applications. EFY